

in the next decade, say experts. “Unless you have the mechanisms to participate in these kinds of economies, you will be left behind,” reasons a banking player. In fact, it becomes next to impossible for any bank or financial institution to partner without a digital currency. “It is expected that these digital currencies will form a good way of replacing what cryptocurrencies offer, at least in terms of exchange value,” says a fintech player.

“The metaverse combines Web 3.0 (decentralised, trust, etc.), immersive experiences (AR/VR, 2D, 3D) and digital assets management (crypto, NFT, blockchain),” says Sunil Rongala, Senior Vice President-Strategy, Innovation & Analytics at Worldline India, which offers payment services to banks and other players in the ecosystem. He says that CBDC is likely to play a big role in the metaverse. “Once all of these interoperable mechanisms are in place around the world, there may even be a global set of currencies that can be used to transact on the Web 3.0 economy and in the metaverse,” chips in Prasad of FIS. Clearly, the banks have a long way to go before they can provide a fully metaverse experience.

CORE BANKING: REFRESH AND RELOAD

The task for the banks is cut out. Not just metaverse banking, they need to put their technology infrastructure in order before they can offer a seamless experience. “They are already struggling with app-based banking,” says a consultant with one of the Big Four consultancy firms. The modernisation of core banking solutions, or CBS, is key. CBS is a backend system that links all branches of a bank and updates daily transactions. CBS facilitates transactions from

any branch, as well as online banking, app-based banking, ATMs and kiosks. “You need to fix the backend before offering any immersive experience, data analytics with AI, personalisation, digital selling and other services,” says a banker.

The banks are already at various stages of updating their legacy systems. Some of the larger private sector lenders such as ICICI Bank and HDFC Bank, as well as public sector behemoth State Bank of India, have stolen a march over their peers. These banks have put in place a layer above the CBS where all experimentation and innovations take place.

THE MARCH OF THE MACHINES

How digital payments transformed at Indian banks



1990



ECS

Transfer and receipt of recurring payments

2004



RTGS

Transfer of high-value payments for corporates

2005



NEFT

Transfer of retail payments

“The need to touch core banking will become more and more infrequent. CBS will only be a repository of data and information. This will provide banks with enormous flexibility and agility, as well as the ability to innovate in order to deliver services in shorter time frames, which is what customers expect,” says Warriar of Federal Bank.

Today, the building blocks of a fully digital bank are getting ready. Take, for instance, opening an account, which is fully digital via video KYC. Banks are increasingly putting